

STRATEGY FORMULATION AND STRATEGIC CHOICE

Strategy formulation is the process through which a set of strategies are developed and a decision arrived at. Strategy formulation produces a clear set of recommendations, with supporting justification, that revise as necessary the mission and objectives of the organization, and supply the strategies for accomplishing them. In formulation, we are trying to modify the current objectives and strategies in ways to make the organization more successful. This includes trying to create "sustainable" competitive advantages -- although most competitive advantages are eroded steadily by the efforts of competitors.

A good recommendation should be: effective in solving the stated problem(s), practical (can be implemented in this situation, with the resources available), feasible within a reasonable time frame, cost-effective, not overly disruptive, and acceptable to key "stakeholders" in the organization. It is important to consider "fits" between resources plus competencies with opportunities, and also fits between risks and expectations.

There are four primary steps in this phase:

- * Reviewing the current key objectives and strategies of the organization, which usually would have been identified and evaluated as part of the diagnosis
- * Identifying a rich range of strategic alternatives to address the three levels of strategy formulation outlined below, including but not limited to dealing with the critical issues
- * Doing a balanced evaluation of advantages and disadvantages of the alternatives relative to their feasibility plus expected effects on the issues and contributions to the success of the organization
- * Deciding on the alternatives that should be implemented or recommended.

FUNCTIONAL LEVEL STRATEGIES

Functional strategies are relatively short-term activities that each functional area within a company will carry out to implement the broader, longer-term corporate level and business level strategies. Each functional area has a number of strategy choices, that interact with and must be consistent with the overall company strategies.

Three basic characteristics distinguish functional strategies from corporate level and business level strategies: shorter time horizon, greater specificity, and primary involvement of operating managers.

A few examples follow of functional strategy topics for the major functional areas of marketing, finance, production/operations, research and development, and human resources management. Each area needs to deal with sourcing strategy, i.e., what should be done in-house and what should be outsourced?

Marketing strategy deals with product/service choices and features, pricing strategy, markets to be targeted, distribution, and promotion considerations. Financial strategies include decisions about capital acquisition, capital allocation, dividend policy, and investment and working capital management. The production or operations functional strategies address choices about how and where the products or services will be manufactured or delivered, technology to be used, management of resources, plus purchasing and relationships with suppliers. For firms in high-tech industries, R&D strategy may be so central that many of the decisions will be made at the business or even corporate level, for example the role of technology in the company's competitive strategy, including choices between being a technology leader or follower. However, there will remain more specific decisions that are part of R&D functional strategy, such as the relative emphasis between product and process R&D, how new technology will be obtained (internal development vs. external through purchasing, acquisition, licensing, alliances, etc.), and degree of centralization for R&D activities. Human resources functional strategy includes many topics, typically recommended by the human resources department, but many requiring top management approval. Examples are job categories and descriptions; pay and benefits; recruiting, selection, and orientation; career development and training; evaluation and incentive systems; policies and discipline; and management/executive selection processes.

COMPETITIVE/ BUSINESS-LEVEL STRATEGIES

Business-level strategies are the courses of action adopted by an organization for each of its business separately.

Foundations of Business strategies:

- Business strategies operate below the corporate-level strategies and are derived from them.
- Corporate –level strategies deal with a portfolio of businesses in such a manner that the overall returns are optimized. So, corporate –level strategies can guide the individual business towards growth.
- Business definition involving the ‘what, who and how’ related to a business provide the direction in which action has to be taken to formulate the business strategies.

Purpose of business-level strategies:

- To serve identified customer groups.
- To provide value to the customer by satisfaction of their needs.
- To use its competencies to gain, sustain and enhance its strategic or competitive advantage.

Michael E.Porter is credited with extensive pioneering work in the area of business-level strategies or what he calls competitive strategies.

Porter believes that the basic unit of analysis for understanding competition is the industry. An industry is a group of competitors producing products or services that compete directly with each other. It is the industry where competitive advantage is ultimately won or lost. To compete in their industry, organizations attempt to define and establish a competitive strategy.

According to Porter, the factors determining the choice of a competitive strategy are-

- 1. Industry structure**
- 2. Positioning of the firm in the industry**

1. Industry structure- It is determined by the five competitive forces-

- a. The threat of new entrants
- b. The threat of substitute products or services
- c. The bargaining power of suppliers
- d. The bargaining power of the buyers and
- e. The rivalry among the existing competitors in an industry.

These five forces vary from industry to industry, i.e., every industry has a unique structure and these factors determine the long-term profitability of organizations in that industry.

2. Positioning of the firm in the industry

The positioning of the firm within the industry is the overall approach of the firm towards competing. It is designed to gain a sustainable competitive advantage.

Positioning is based on two variables- **Competitive advantage and Competitive scope**

a. Competitive advantage- A firm can adopt 2 generic types of competitive approaches for positioning in the industry. They are –

- **Low-cost approach-** The competence of an organization to design, produce and market a comparable product, more efficiently than its competitors.
- **Differentiation approach-** The competence of a firm to provide unique and superior value to the buyer in terms of product quality, special features or after-sale service.

b. Competitive scope- Porters defines competitive scope as the breadth of an organisation's target within the industry. By the breadth of a firm's target it is meant the range of products, distribution channels, types of buyers, the geographic areas served and the array of the industries in which the firm would also compete.

Depending on the scale of a firm's operations, a firm can adopt a –

- **Broad target approach-** A firm can offer a full range of

products/services to a wide range of customers groups located in a widely-scattered geographical area.

- **Narrow target approach**-A firm can choose to offer a limited range of products/services to fewer customer groups in a restricted geographical area.

When the two factors of positioning, the competitive advantage and competitive scope, are combined, what results is a set of **generic competitive strategies**. These are called as the **Business-level strategies**.

Generic competitive strategies

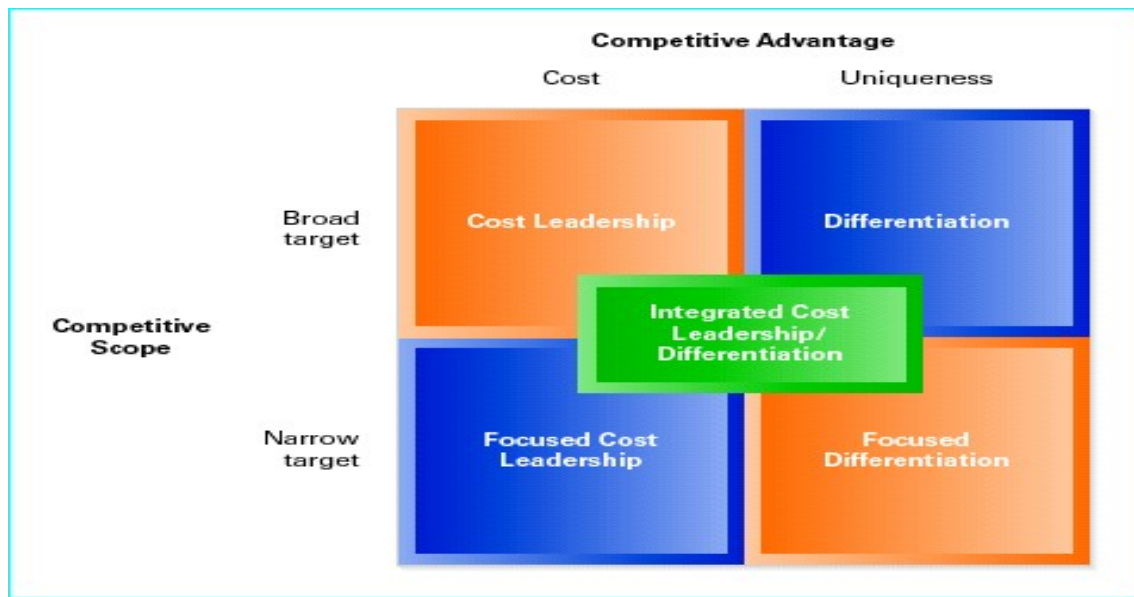
Business-level strategy, defined as an integrated and coordinated set of commitments and actions the firm uses to gain a competitive advantage by exploiting core competencies in specific product markets.

Customers are the foundation of successful business-level strategies. Firm examines issues of who, what, and how-

- **Who** are the customer groups to be served?

- **What** needs those customers have that the firm seeks to satisfy?

How can the firm use core competencies to satisfy customer needs?



4

BUSINESS-LEVEL STRATEGIES

1. Cost leadership strategy

Using a cost leadership strategy, a firm:

- Produces no-frills, standardized products for typical customers
- Offers these low-cost products with competitive levels of differentiation.
- Focuses on efficiency so costs are lower than competitors' costs.

Risks of cost leadership strategy

Competitive risks associated with the cost leadership strategy include:

- Loss of competitive advantage to newer technologies
- Failure to detect changes in customers' needs, and
- The ability of competitors to imitate the cost leader's competitive advantage through their own unique strategic actions.

2. Differentiation strategy

Firms using differentiation strategy

- Provide products that have different, valued features that are sold at a premium price
- Differentiate their products along as many dimensions as possible.
- The less similarity to competitors' products, the more buffered a firm is from competition with its rivals.

Risks of differentiation strategy

- Customers decide that the differences between the differentiated

- product and the cost leader's product are not worth a higher price
- ii) Firms can not sufficiently differentiate a product to create value for which customers will pay a premium price
- iii) Competitors offer similar products at a lower cost
- iv) Counterfeiters offer a cheap "knockoff" of a differentiated good or service.

3. Focus strategies

The focus strategy is an integrated set of actions taken to produce goods or services that serve the needs of a particular competitive segment.

Firms choose a focus strategy to serve the needs of a specific customer segment or industry segment.

Examples

A particular buyer group (such as youths or senior citizens)

A different segment of a product line (such as products for professional painters or the do- it-yourself group), or

A different geographic market (such as East or West in the U.S).

Firms can create value for a specific segment of the market by using the focused cost leadership strategy or the focused differentiation strategy.

To be successful, firms must have the core competencies required to provide more value to the specific market segment than can competitors serving the entire industry.

Risks of focus strategies

Competitive risks of focus strategies

- i) A competitor is able to focus on an even more narrowly defined market segment Industry-wide competitors decide to focus on specific customer segments
- ii) The differences are reduced between the needs of a specific market segment and those of the rest of the industry

4. Integrated cost leadership/differentiation strategy

Using this strategy, firms:

- a) Provide relatively low cost products with valued differentiated features.
- b) Use primary and support activities to produce differentiated

products at relatively low costs.

Risk of this strategy

- i) A firm produces products that lack sufficient low cost or differentiation.

Competitive Tactics

Although a choice of one of the generic competitive strategies discussed in the previous section provides the foundation for a business strategy, there are many variations and elaborations. Among these are various tactics that may be useful (in general, tactics are shorter in time horizon and narrower in scope than strategies). This section deals with competitive tactics, while the following section discusses cooperative tactics.

Two categories of competitive tactics are those dealing with timing (when to enter a market) and market location (where and how to enter and/or defend).

Timing Tactics: When to make a strategic move is often as important as what move to make. We often speak of *first-movers* (i.e., the first to provide a product or service), *second-movers* or rapid followers, and *late movers* (wait-and-see). Each tactic can have advantages and disadvantages.

Being a first-mover can have major strategic advantages when:

- (a) doing so builds an important image and reputation with buyers;
 - (b) early adoption of new technologies, different components, exclusive distribution channels, etc. can produce cost and/or other advantages over rivals;
 - (c) first-time customers remain strongly loyal in making repeat purchases;
- and
- (d) moving first makes entry and imitation by competitors hard or unlikely.

However, being a second- or late-mover isn't necessarily a disadvantage. There are cases in which the first-mover's skills, technology, and strategies are easily copied or even surpassed by later-movers, allowing them to catch or pass the first-mover in a relatively short period, while having the advantage of minimizing risks by waiting until a new market is established. Sometimes, there are advantages to being a skillful follower rather than a first-mover, e.g., when: (a) being a first-mover is more costly than imitating and only modest experience curve benefits accrue to the leader (followers can end up with lower costs than the first-mover under some conditions); (b) the products of an innovator are somewhat primitive and do not live up to buyer expectations, thus allowing a

clever follower to win buyers away from the leader with better performing products; (c) technology is advancing rapidly, giving fast followers the opening to leapfrog a first-mover's products with more attractive and full-featured second- and third-generation products; and (d) the first-mover ignores market segments that can be picked up easily.

Market Location Tactics: These fall conveniently into offensive and defensive tactics. Offensive tactics are designed to take market share from a competitor, while defensive tactics attempt to keep a competitor from taking away some of our present market share, under the onslaught of offensive tactics by the competitor. Some offensive tactics are:

- * **Frontal Assault:** going head-to-head with the competitor, matching each other in every way. To be successful, the attacker must have superior resources and be willing to continue longer than the company attacked.
- * **Flanking Maneuver:** attacking a part of the market where the competitor is weak. To be successful, the attacker must be patient and willing to carefully expand out of the relatively undefended market niche or else face retaliation by an established competitor.
- * **Encirclement:** usually evolving from the previous two, encirclement involves encircling and pushing over the competitor's position in terms of greater product variety and/or serving more markets. This requires a wide variety of abilities and resources necessary to attack multiple market segments.
- * **Bypass Attack:** attempting to cut the market out from under the established defender by offering a new, superior type of produce that makes the competitor's product unnecessary or undesirable.
- * **Guerrilla Warfare:** using a "hit and run" attack on a competitor, with small, intermittent assaults on different market segments. This offers the possibility for even a small firm to make some gains without seriously threatening a large, established competitor and evoking some form of retaliation.

Some Defensive Tactics are:

- * **Raise Structural Barriers:** block avenues challengers can take in mounting an offensive
- * **Increase Expected Retaliation:** signal challengers that there is threat of

strong retaliation if they attack

- * **Reduce Inducement for Attacks:** e.g., lower profits to make things less attractive (including use of accounting techniques to obscure true profitability). Keeping prices very low gives a new entrant little profit incentive to enter.

The general experience is that any competitive advantage currently held will eventually be eroded by the actions of competent, resourceful competitors. Therefore, to sustain its initial advantage, a firm must use both defensive and offensive strategies, in elaborating on its basic competitive strategy.

CORPORATE LEVEL STRATEGY

Corporate level strategies are concerned with questions about what business to compete in. Corporate Strategy involves the careful analysis of the selection of businesses the company can successfully compete in. Corporate level strategies affect the entire organization and are considered delicate in the strategic planning process.

Characteristics of Corporate Strategy

- Corporate level strategies are formulated by the top management with inputs from middle level management and lower-level management in the formulation process and designing of sub strategies
- Decisions are complex and affects the entire organization
- It is concerned with the efficient allocation and utilization of scarce resources for the benefit of the organization
- Corporate level strategies are mapped out around the goal and objectives of an organization. They seek to translate these goals and objectives to reality
- Typical examples of decisions made are decisions on products and markets

Types of corporate Strategy: The main types of corporate strategies are Growth strategies, stability, Retrenchment, and cooperation strategies.

I. GROWTH STRATEGY

As the name implies, corporate strategies are those corporate level strategies designed to achieve growth in key metrics such as sales / revenue, total assets, profits etc. A growth strategy could be implemented by expanding operations both globally and locally; this is a growth strategy based on internal factors which can be achieved through internal economies of scale. Aside from the illustration of internal growth strategies above, an organization can also grow externally through mergers, acquisitions and strategic alliances. The two basic growth strategies are concentration strategies and diversification strategies.

A. Intensification strategy: This is mostly utilized for company's producing product lines with real growth potentials. The company concentrates more resources on the product line to increase its participation in the value chain of the product. The main types of intensification strategies are

1. Market penetration: Market Penetration Strategy. **Market penetration** is one of the four alternative growth **strategies** in the Ansoff Matrix. A **market penetration strategy** involves focusing on selling your existing products or services into your existing **markets** to gain a higher **market** share.

2. Market development: Market development is a growth **strategy** that identifies and develops new **market** segments for current products. A **market development strategy** targets non-buying customers in currently targeted segments. It also targets new customers in new segments. ... Another way is to expand sales through new uses for the product.

3. Product development: This **strategy** is employed when a company's existing market is saturated, and revenues and profits are stagnant or falling. ... A **product development diversification strategy** takes a company outside its existing business and a new **product** is developed for a new market.

4. Innovation: An **innovation strategy** is a plan to grow market share or profits through product and service **innovation**. When it comes to creating the solution, an **innovation strategy** must also indicate whether a product improvement or a disruptive or breakthrough **Innovation** approach is best.

II. DIVERSIFICATION STRATEGY

Richard Rumelt, opines that companies think about diversification strategies when growth has reached its peak and there is no opportunity for further growth in the original business of the company. What then is this diversification strategy we speak of? A company is diversified when it is in two or more lines of business operating in distinct and diverse market environments.

Diversification strategy is categorized into:

1. **Vertical growth strategy:** By utilizing this strategy, the company participates in the value chain of the product by either taking up the job of the supplier or distributor. If the company assumes the function or the role previously taken up by a supplier, we call it **a) backward integration**, while it is called **b) forward integration** if a company assumes the function previously provided by a distributor.

2. **Horizontal growth strategy:** Horizontal growth is achieved by expanding operations into other geographical locations or by expanding the range of products or services offered in the existing market. Horizontal growth results into horizontal integration which can be defined as the degree in which a company increases production of goods or services at the same point on an industry's value chain. Two important aspects of horizontal growth strategy are,

a) Concentric Diversification: This is also called related diversification. It involves the diversification of a company into a related industry. This strategy is particularly useful to companies in leadership position as the firm attempts to secure strategic fit in a new industry where the firm's product knowledge, manufacturing capability and marketing skills it used so effectively in the original industry can be used just as well in the new industry it is diversifying into.

b) Conglomerate Diversification: This is also called unrelated diversification; it involves the diversification of a company into an industry unrelated to its current industry. This type of diversification strategy is often utilized by companies in saturated industries believed to be unattractive, and without the knowledge or skill it could transfer to related products or services in other industries.

III. STABILITY STRATEGY

Stability strategies are mostly utilized by successful organizations

operating in a reasonably predictable environment. It involves maintaining the current strategy that brought it success with little or no change. There are three basic types of stability strategies, they are:

- **No change Strategy:** This alternative could be a cop-out, representing indecision or timidity in making a choice for change. Alternatively, it may be a comfortable, even long-term strategy in a mature, rather stable environment, e.g., a small business in a small town with few competitors.
- **Profit Strategy:** In using this strategy, the company tries to sustain its profitability through artificial means which may include aggressive cost cutting and raising sales prices, selling of investments or assets, and removing non-core businesses. The profit strategy is useful in two instances:
 1. To help a company through tough times or temporary difficulty; and
 2. To artificially boost the value of a company in the case of an Initial Public Offering (IPO)

- **Pause/ Proceed with caution Strategy:** This strategy is used to test the waters before continuing with a full-fledged strategy. It could be an intermediate strategy before proceeding with a growth strategy or retrenchment strategy.. This stability strategy alternative (essentially a timeout) may be appropriate in either of two situations: (a) the need for an opportunity to rest, digest, and consolidate after growth or some turbulent events - before continuing a growth strategy, or (b) an uncertain or hostile environment in which it is prudent to stay in a "holding pattern" until there is change in or more clarity about the future in the environment.

IV. RETRENCHMENT STRATEGIES

Retrenchment strategies are pursued when a company's product lines are performing poorly as a result of finding itself in a weak competitive position or a general decline in industry or markets. The strategy seeks to improve the performance of the company by eliminating the weakness pulling the company back. Examples of retrenchment strategies are:

- **Turnaround strategy:** This strategy, dealing with a company in serious trouble, attempts to resuscitate or revive the company through a combination of contraction (general, major cutbacks in size and costs) and consolidation (creating and stabilizing a smaller,

leaner company). Although difficult, when done very effectively it can succeed in both retaining enough key employees and revitalizing the company. This strategy is adopted for purposes of reversing the process of decline. It emphasizes operational efficiency and is most appropriate at the beginning of the decline rather than the critical stage of the decline.

- **Captive Company Strategy:** This strategy involves giving up independence in exchange for some security by becoming another company's sole supplier, distributor, or a dependent subsidiary.
- **Divestment Strategy:** Divestment also known as divestiture is the selling off of assets for the different goals a company seeks to attain. This strategy involves the cutting off of loss-making units, divisions or Strategic Business Units ("SBU").
- **Sell Out:** If a company in a weak position is unable or unlikely to succeed with a turnaround or captive company strategy, it has few choices other than to try to find a buyer and sell itself (or divest, if part of a diversified corporation).
- **Liquidation:** When a company has been unsuccessful in or has none of the previous three strategic alternatives available, the only remaining alternative is liquidation, often involving a bankruptcy. There is a modest advantage of a voluntary liquidation over bankruptcy in that the board and top management make the decisions rather than turning them over to a court, which often ignores stockholders' interests.
- **Bankruptcy** is a legal status of a person or other entity that cannot repay debts to creditors. In most jurisdictions, bankruptcy is imposed by a court order, often initiated by the debtor.

V. COMBINATION/ COOPERATION STRATEGY

Mergers, Acquisitions, and Strategic Alliances:

Mergers acquisitions and Strategic alliances are an important part of corporate restructuring.

Merger: A merger is a strategy of joining two businesses. A merger occurs when

two companies join or merge to form one single company but with a new name.

Acquisition: 'Acquisition refers to a situation where one firm acquires another and the latter ceases to exist. Simply put in what happens in an acquisition is that one business buys another usually smaller business that might be absorbed within the parent organization or run as a subsidiary.

Strategic Alliance: A strategic alliance involves an agreement or alliance between two or more businesses formed to achieve strategically significant objectives that are mutually beneficial. Some are very short- term; others are longer-term and may be the first stage of an eventual merger between the companies.

Some of the reasons for strategic alliances are to: obtain/share technology, share manufacturing capabilities and facilities, share access to specific markets, reduce financial/political/market risks, and achieve other competitive advantages not otherwise available. There could be considered a continuum of types of strategic alliances, ranging from: (a) mutual service consortiums (e.g., similar companies in similar industries pool their resources to develop something that is too expensive alone), (b) licensing arrangements, (c) joint ventures (an independent business entity formed by two or more companies to accomplish certain things, with allocated ownership, operational responsibilities, and financial risks and rewards), (d) value-chain partnerships (e.g., just-in-time supplier relationships, and out-sourcing of major value- chain functions).

Each of the growth strategy categories can be carried out internally or externally, through mergers, acquisitions, and/or strategic alliances. Of course, there also can be a mixture of internal and external actions.

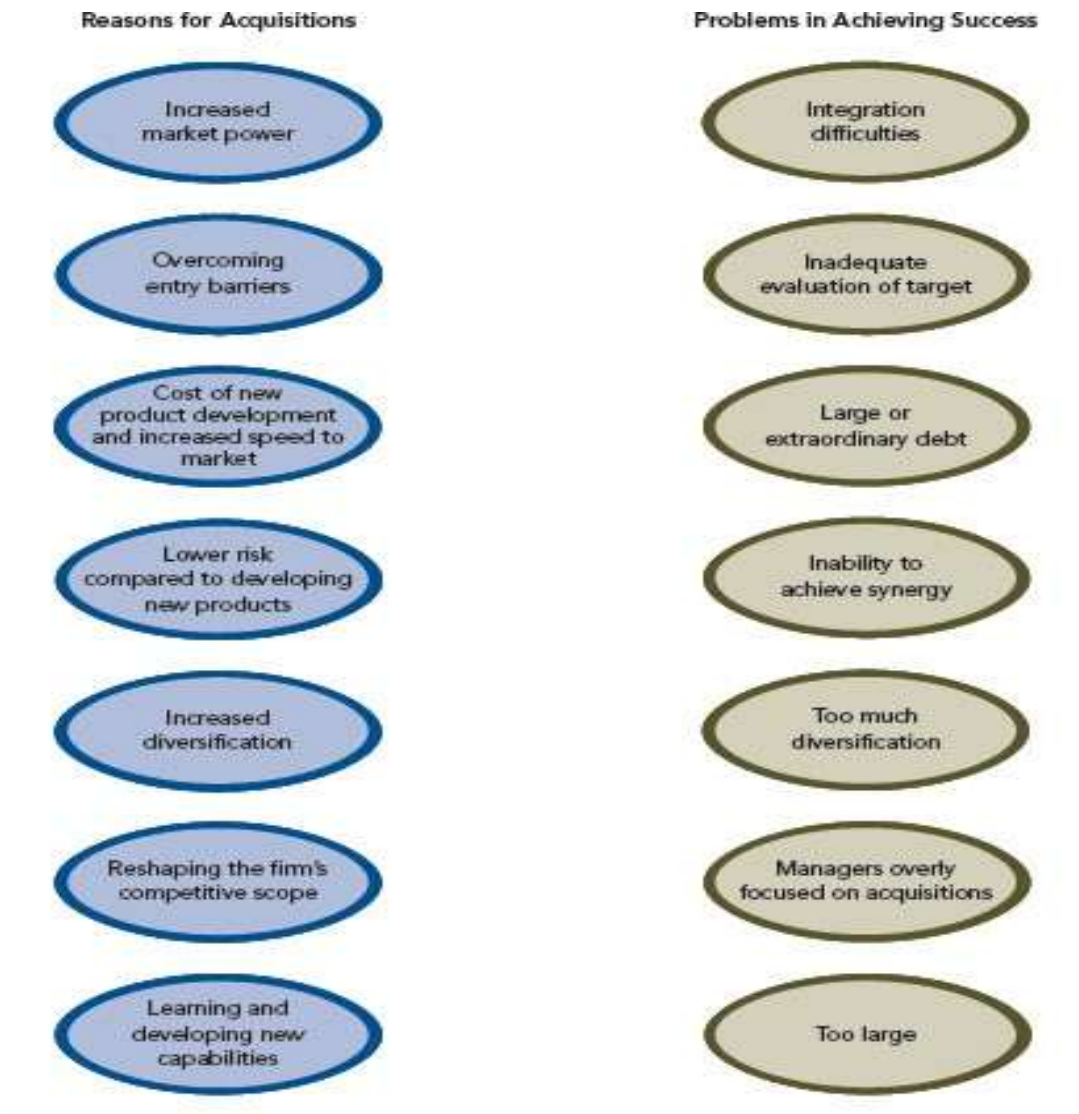
IMPORTANCE OF MERGERS, AQUISITIONS and STRATEGIC ALLIANCES: These are a very important means by which companies respond to the ever-changing strategic environment. Mergers and acquisitions enable successful companies to grow faster than their competition by combining the strengths of the companies that have merged. Various forms of strategic alliances, mergers, and acquisitions have emerged and are used extensively in many industries today. They are used particularly to bridge resource

and technology gaps, and to obtain expertise and market positions more quickly than could be done through internal development. They are particularly necessary and potentially useful when a company wishes to enter a new industry, new markets, and/or new parts of the world.

On the other hand, they lead to total extinction of the weaker companies by having them acquired by other large and successful companies. 'Mergers and acquisitions are a vital part of any healthy economy and importantly, the primary way that companies are able to provide returns to owners and investors.' and also that 'Merger and acquisitions are among the most powerful and versatile growth tools employed by companies of all sizes and in all industries.' Despite their extensive use, a large share of alliances, mergers, and acquisitions fall far short of expected benefits or are outright failures. For example, one study published in *Business Week* in 1999 found that 61 percent of alliances were either outright failures or "limping along." Research on mergers and acquisitions includes a Mercer Management Consulting study of all mergers from 1990 to 1996 which found that nearly half "destroyed" shareholder value; an A. T. Kearney study of 115 multibillion-dollar, global mergers between 1993 and 1996 where 58 percent failed to create "substantial returns for shareholders" in the form of dividends and stock price appreciation; and a Price-Waterhouse-Coopers study of 97 acquisitions over \$500 million from 1994 to 1997 in which two-thirds of the buyer's stocks dropped on announcement of the transaction and a third of these were still lagging a year later.

Many reasons for the problematic record have been cited, including paying too much, unrealistic expectations, inadequate due diligence, and conflicting corporate cultures; however, the most powerful contributor to success or failure is inadequate attention to the merger integration process. Although the lawyers and investment bankers may consider a deal done when the papers are signed and they receive their fees, this should be merely an incident in a multi-year process of integration that began before the signing and continues far beyond.

REASONS FOR ACQUISITIONS AND PROBLEMS IN ACHIEVING SUCCESS



Market power is increased by:

- Horizontal acquisitions: other firms in the same industry
- Vertical acquisitions: suppliers or distributors of the acquiring firm
- Related acquisitions: firms in related industries

Overcoming Entry Barriers

Entry Barriers

- Factors associated with the market or with the firms operating in it that increase the expense and difficulty faced by new ventures trying to enter that market

Cross-Border Acquisitions

- Acquisitions made between companies with headquarters in different countries

Cost of New Product Development and Increased Speed to Market

- Internal development of new products is often perceived as high-risk activity.
- Acquisitions allow a firm to gain access to new and current products that are new to the firm.
- Compared with internal product development, acquisitions:

Lower Risk Compared to Developing New Products

- Outcomes for an acquisition can be more easily and accurately estimated than the outcomes of an internal product development process.
- Acquisition strategies are a common means of avoiding risky internal ventures and risky R&D investments.
- Acquisitions may become a substitute for innovation, and thus should always be strategic rather than defensive in nature

Increased Diversification

- Using acquisitions to diversify a firm is the quickest and easiest way to change its portfolio of businesses.
- Both related diversification and unrelated diversification strategies can be implemented through acquisitions

Reshaping the Firm's Competitive Scope

- Reduce the negative effect of an intense rivalry on a firm's financial performance.
- Reduce a firm's dependence on one or more products or markets

Learning and Developing New Capabilities

- Special technological capability
- A broader knowledge base
- Reduced inertia

RESTRUCTURING

A strategy through which a firm changes its set of businesses or financial structure

- Failure of an acquisition strategy often precedes a restructuring strategy
- Restructuring may occur because of changes in the external or internal environments

Restructuring strategies include:

- 1. Downsizing:** Reduction in the number of a firm's employees and in the number of its operating units, but it does not change the essence of the business
 - Tactical
 - Short-term
 - Cut labor costs
 - Acquisition failed to create anticipated value
 - Paid too much for target
- 2. Down scoping:** Refers to divestiture, spin-off, or some other means of eliminating businesses that are unrelated to a firm's core businesses
 - Strategic
 - Long-term
 - Focus on core businesses
 - More positive effect on firm performance than downsizing
- 3. Leveraged buyouts (LBOs) :** A party buys all of the assets of a business, financed largely with debt, and takes the firm private

Three types of LBOs

- Management buyouts (MBOs)
- Employee buyouts (EBOs)
- Whole-firm buyouts

RESTRUCTURING OUTCOMES

- Short-term
 - Reduced costs: labor and debt
 - Emphasis on strategic controls
- Long-term
 - Loss of human capital
 - Performance: higher/lower
 - Higher risk

DIVERSIFICATION

a) **Related Diversification (aka Concentric Diversification):**

In this alternative, a company expands into a related industry, one having synergy with the company's existing lines of business, creating a situation in which the existing and new lines of business share and gain special advantages from commonalities such as technology, customers, distribution, location, product or manufacturing similarities, and government access. This is often an appropriate corporate strategy when a company has a strong competitive position and distinctive competencies, but its existing industry is not very attractive.

b) **Unrelated Diversification (aka Conglomerate Diversification):**

This category of corporate strategy alternatives for growth involves diversifying into a line of business unrelated to the current ones. The reasons to consider this alternative are primarily seeking more attractive opportunities for growth in which to invest available funds (in contrast to rather unattractive opportunities in existing industries), risk reduction, and/or preparing to exit an existing line of business (for example, one in the decline stage of the product life cycle). Further, this may be an appropriate strategy when, not only the present industry is unattractive, but the company lacks outstanding competencies that it could transfer to related products or industries. However, because it is difficult to manage and excel in unrelated business units, it can be difficult to realize the hoped-for value added.

LEVELS OF DIVERSIFICATION

Diversified firms vary according to their level of diversification and the connections between and among their businesses

The single- and dominant-business categories denote relatively low levels of diversification; more fully diversified firms are classified into related and unrelated categories

A firm is related through its diversification when its businesses share links across:

- PRODUCTS (goods or services)
- TECHNOLOGIES
- DISTRIBUTION CHANNELS

1. Low Levels

- Single Business Strategy.
- Corporate-level strategy in which the firm generates 95% or more of its sales revenue from its core business area.

2. Moderate to High Levels

- Related Constrained Diversification Strategy
- Less than 70% of revenue comes from the dominant business
- Direct links (i.e., share products, technology, and distribution linkages) between the firm's businesses

3. Very High Levels: Unrelated

- Less than 70% of revenue comes from dominant business
- No relationships between businesses
-

Low Levels of Diversification

Single business: 95% or more of revenue comes from a single business.

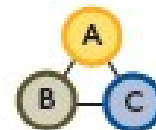


Dominant business: Between 70% and 95% of revenue comes from a single business.

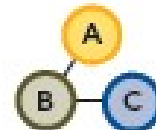


Moderate to High Levels of Diversification

Related constrained: Less than 70% of revenue comes from the dominant business, and all businesses share product, technological, and distribution linkages.



Related linked (mixed related and unrelated): Less than 70% of revenue comes from the dominant business, and there are only limited links between businesses.



Very High Levels of Diversification

Unrelated: Less than 70% of revenue comes from the dominant business, and there are no common links between businesses.



Source: Adapted from R. P. Rumelt, 1974, *Strategy, Structure and Economic Performance*, Boston: Harvard Business School.

REASONS FOR DIVERSIFICATION

Value-Creating Diversification
■ Economies of scope (related diversification)
• Sharing activities
• Transferring core competencies
■ Market power (related diversification)
• Blocking competitors through multipoint competition
• Vertical integration
■ Financial economies (unrelated diversification)
• Efficient internal capital allocation
• Business restructuring
Value-Neutral Diversification
■ Antitrust regulation
■ Tax laws
■ Low performance
■ Uncertain future cash flows
■ Risk reduction for firm
■ Tangible resources
■ Intangible resources
Value-Reducing Diversification
■ Diversifying managerial employment risk
■ Increasing managerial compensation

VALUE-CREATING DIVERSIFICATION

- FIRM CREATES VALUE BY BUILDING UPON OR EXTENDING:
 - Resources
 - Capabilities
 - Core competencies

PURPOSE: gain market power relative to competitors
ADVANTAGE:

ECONOMIES OF SCOPE

- Cost savings that occur when a firm transfers capabilities and competencies developed in one of its businesses to another of its businesses.
- Operational relatedness in sharing activities
- Corporate relatedness in transferring skills or corporate core competencies among units

- MARKET POWER: Exists when a firm is able to sell its

products above the existing competitive level, to reduce costs of primary and support activities below the competitive level, or both. Exists when two or more diversified firms simultaneously compete in the same product or geographic markets.

What Should Be Our Portfolio Strategy?

This second component of corporate level strategy is concerned with making decisions about the portfolio of lines of business (LOB's) or strategic business units (SBU's), not the company's portfolio of individual products.

Portfolio matrix models can be useful in reexamining a company's present portfolio. The purpose of all portfolio matrix models is to help a company understand and consider changes in its portfolio of businesses, and also to think about allocation of resources among the different business elements. The two primary models are the BCG Growth-Share Matrix and the GE Business Screen (Porter, 1980, has a good summary of these). These models consider and display on a two-dimensional graph each major SBU in terms of some measure of its industry attractiveness and its relative competitive strength

The *BCG Growth-Share Matrix model* considers two relatively simple variables: growth rate of the industry as an indication of industry attractiveness, and relative market share as an indication of its relative competitive strength. The *GE Business Screen*, also associated with McKinsey, considers two composite variables, which can be customized by the user, for (a) industry attractiveness (e.g, one could include industry size and growth rate, profitability, pricing practices, favored treatment in government dealings, etc.) and (b) competitive strength (e.g., market share, technological position, profitability, size, etc.)

The best test of the business portfolio's overall attractiveness is whether the combined growth and profitability of the businesses in the portfolio will allow the company to attain its performance objectives. Related to this overall criterion are such questions as:

- * Does the portfolio contain enough businesses in attractive industries?
- * Does it contain too many marginal businesses or question marks?
- * Is the proportion of mature/declining businesses so great that growth will be sluggish?

- * Are there some businesses that are not really needed or should be divested?
- * Does the company have its share of industry leaders, or is it burdened with too many businesses in modest competitive positions?
- * Is the portfolio of SBU's and its relative risk/growth potential consistent with the strategic goals?
- * Do the core businesses generate dependable profits and/or cash flow?
- * Are there enough cash-producing businesses to finance those needing cash
- * Is the portfolio overly vulnerable to seasonal or recessionary influences?
- * Does the portfolio put the corporation in good position for the future?

It is important to consider diversification vs. concentration while working on portfolio strategy, i.e., how broad or narrow should be the scope of the company. It is not always desirable to have a broad scope. Single-business strategies can be very successful (e.g., early strategies of McDonald's, Coca-Cola, and BIC Pen). Some of the advantages of a narrow scope of business are: (a) less ambiguity about who we are and what we do; (b) concentrates the efforts of the total organization, rather than stretching them across many lines of business; (c) through extensive hands-on experience, the company is more likely to develop distinctive competence; and (d) focuses on long-term profits. However, having a single business puts "all the eggs in one basket," which is dangerous when the industry and/or technology may change. Diversification becomes more important when market growth rate slows. Building stable shareholder value is the ultimate justification for diversifying -- or any strategy.

What Should Be Our Parenting Strategy?

This third component of corporate level strategy, relevant for a multi-business company (it is moot for a single-business company), is concerned with how to allocate resources and manage capabilities and activities across the portfolio of businesses. It includes evaluating and making decisions on the following:

- * Priorities in allocating resources (which business units will be stressed)
- * What are critical success factors in each business unit, and how

can the company do well on them

- * Coordination of activities (e.g., horizontal strategies) and transfer of capabilities among business units
- * How much integration of business units is desirable.

GLOBAL STRATEGY

Global strategy: the organization treats the world as largely one market and one source of supply with little local variation. Importantly, competitive advantage is developed largely on a global basis. It covers

1. **International strategy:** the organization's objectives relate primarily to the home market. However, we have some objectives with regard to overseas activity and therefore need an international strategy. Importantly, the competitive advantage – important in strategy development – is developed mainly for the *home* market.

2. **Multinational strategy:** the organization is involved in a number of markets beyond its home country. But it needs distinctive strategies for each of these markets because customer demand and, perhaps competition, are different in each country. Importantly, competitive advantage is determined *separately for each country*.

Why is global strategy important?

From a company perspective, international expansion provides the opportunity for new sales and profits. In some cases, it may even be the situation that profitability is so poor in the home market that international expansion may be the only opportunity for profits.

From a customer perspective, international trade should – in theory at least – lead to lower prices for goods and services because of the economies of scale and scope that will derive from a larger global base. For example, Nike sources its sports shoes from low labour cost countries like the Philippines and Vietnam. In addition, some customers like to purchase products and services that have a global image. For example, Disney cartoon characters or 'Manchester United' branded soccer shirts.

From the perspective of international governmental organizations – like the World Bank – the recent dominant thinking has been to bring down barriers to world trade while giving some degree of protection to some countries and industries. Thus global strategy is an important aspect of such international negotiations.

IDENTIFYING INTERNATIONAL OPPORTUNITIES

International Strategy: a strategy through which the firm sells its goods or services outside its domestic market

Reasons for having an international strategy

- International markets yield new opportunities
- Needed resources can be secured
- Greater potential product demand
- Borderless demand for globally branded products
- Pressure for global integration
- New market expansion extends product life cycle

THREE BASIC BENEFITS OF INTERNATIONAL STRATEGY

1. INCREASED MARKET SIZE

- Domestic market may lack the size to support efficient scale manufacturing facilities
- Generally, larger international markets offer higher potential

returns and pose less risk for firms

- The strength of international markets may facilitate efforts to more effectively sell and/or produce products that create value for customers

2. ECONOMIES OF SCALE AND LEARNING

- Firms may also be able to exploit core competencies in international markets through resource and knowledge sharing between units and network partners across country borders
- By sharing resources and knowledge in this manner, firms can learn how to create synergy, which in turn can help each firm learn how to produce higher-quality products at a lower cost

3. LOCATION ADVANTAGES

- Certain markets may offer superior access to critical resources, e.g., raw materials, lower-cost labor, energy, suppliers, key customers
- Cultural influences may be advantageous—a strong cultural match facilitates international business transactions
- Physical distances influence firms' location choices, i.e., transportation costs

RISKS IN AN INTERNATIONAL

ENVIRONMENT

POLITICAL RISKS

- Government instability
- Conflict or war
- Government regulations
- Conflicting and diverse legal authorities
- Potential nationalization of private assets
- Government corruption
- Changes in government policies

ECONOMIC RISKS

- Government oversight and control of economic/financial capital.
- Weak Intellectual Property (IP) rights protections, impact FDI attractiveness.
- Investment losses due to political risks
- Terrorism
- Security risk of foreign firms acquiring key natural resources or strategic IP.

LIMITS TO INTERNATIONAL EXPANSION

There are several reasons that explain the limits to the positive effects of the diversification associated with international strategies:

- Geographic dispersion
- Trade barriers
- Logistical costs
- Cultural diversity and barriers
- Complexity of competition
- Relationship between firm and host country
- Other country differences

International business-level strategies

- **Cost leadership**
- **Differentiation**
- **Focused cost leadership**
- **Focused differentiation**
- **Integrated cost**

leadership/differentiation

International Corporate-level strategies

- **Multi domestic**
- **Global**
- **Transnational (the combination of the multi domestic and global strategies)**

CHOOSING THE BEST STRATEGY ALTERNATIVES

Decision making is a complex subject.

Here are some factors to consider when choosing among alternative strategies:

- * It is important to get as clear as possible about objectives and decision criteria (what makes a decision a "good" one?)
- * The primary answer to the previous question, and therefore a vital criterion, is that the chosen strategies must be effective in addressing the "critical issues" the company faces at this time
- * They must be consistent with the mission and other strategies of the organization
- * They need to be consistent with external environment factors, including realistic assessments of the competitive environment and trends
- * They fit the company's product life cycle position and market attractiveness/competitive strength situation

- * They must be capable of being implemented effectively and efficiently, including being realistic with respect to the company's resources
- * The risks must be acceptable and in line with the potential rewards
- * It is important to match strategy to the other aspects of the situation, including:
 - (a) size, stage, and growth rate of industry; (b) industry characteristics, including fragmentation, importance of technology, commodity product orientation, international features; and (c) company position (dominant leader, leader, aggressive challenger, follower, weak, "stuck in the middle")
- * Consider stakeholder analysis and other people-related factors (e.g., internal and external pressures, risk propensity, and needs and desires of important decision-makers)
- * Sometimes it is helpful to do scenario construction, e.g., cases with optimistic, most likely, and pessimistic assumptions.

SOME TROUBLESOME STRATEGIES TO AVOID OR USE WITH CAUTION

Follow the Leader: when the market has no more room for copycat products and look- alike competitors. Sometimes such a strategy can work fine, but not without careful consideration of the company's particular strengths and weaknesses. (e.g., Fujitsu Ltd. was driven since the 1960s to catch up to IBM in mainframes and continued this quest even into the 1990s after mainframes were in steep decline; or the decision by Standard Oil of Ohio to follow Exxon and Mobil Oil into conglomerate diversification)

Count On Hitting Another Home Run: e.g., Polaroid tried to follow its early success with instant photography by developing "Polavision" during the mid-1970s.

Unfortunately, this very expensive, instant developing, 8mm, black and white, silent motion picture camera and film was displayed at a stockholders' meeting about the time that the first beta-format video recorder was released by Sony. Polaroid reportedly wrote off at least \$500 million on this venture without selling a single camera.

Try to Do Everything: establishing many weak market positions instead of a few strong ones

Arms Race: Attacking the market leaders head-on without having either a good competitive advantage or adequate financial strength; making such aggressive attempts to take market share that rivals are provoked into strong retaliation and a costly "arms race." Such battles seldom produce a substantial change in market shares; usual outcome is higher costs and profitless sales growth

Put More Money On a Losing Hand: one version of this is allocating R&D efforts to weak products instead of strong products (e.g., Polavision again, Pan Am's attempt to continue global routes in 1987)

Over-optimistic Expansion: Using high debt to finance investments in new

facilities and equipment, then getting trapped with high fixed costs when demand turns down, excess capacity appears, and cash flows are tight

Unrealistic Status-Climbing: Going after the high end of the market without having the reputation to attract buyers looking for name-brand, prestige goods (e.g., Sears' attempts to introduce designer women's clothing)

Selling the Sizzle Without the Steak: Spending more money on marketing and sales promotions to try to get around problems with product quality and performance.

Depending on cosmetic product improvements to serve as a substitute for real innovation and extra customer value.